

Employing in the United Arab Emirates

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under Federal Decree-Law No. 33 of 2021 (Labour Law)
- **Monthly payroll** — salary payments in AED via the Wage Protection System (WPS)
- **No income tax** — the UAE levies no personal income tax on employment income
- **End-of-service gratuity** — statutory lump-sum accrual and settlement administration
- **Leave and termination management** — notice periods, entitlements and final settlement guidance

Employment Conditions

Contracts & Probation

The UAE has no universal statutory minimum wage for expatriate private-sector employees — minimum wage rules apply only to Emirati nationals under the Nafis Emiratization programme. There is also no personal income tax, making gross and net pay identical for employees.

Item	Detail	Legal Basis
Probation period	Maximum 6 months	Federal Decree-Law No. 33 of 2021
Minimum wage	No universal rate for expatriates; applies only to Emirati nationals under Nafis	Nafis programme
Personal income tax	None on employment income	UAE tax framework

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 48 hrs/week	Federal Decree-Law No. 33 of 2021
Overtime premium	125% of hourly rate (150% for night work, 10pm-4am)	Federal Decree-Law No. 33 of 2021

Statutory On-Costs (2026)

Measure	Rate	Notes
GPSSA (UAE/GCC nationals only)	Employer 15%, employee 11%	Does not apply to non-GCC expatriate employees
End-of-service gratuity (expatriates)	21 days' basic salary per year for the first 5 years, 30 days per year beyond	Capped at 2 years' total salary; paid as a lump sum within 14 days of contract end
Voluntary Savings Scheme (alternative to gratuity)	Employer contributes 5.83% of basic salary (first 5 years), 8.33% thereafter	Paid monthly into approved investment funds instead of accruing a lump-sum liability

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	30 calendar days/year	Employer	After 1 year of service (pro-rated at 2 days/month before that)
Maternity Leave	60 days (45 full pay + 15 half pay)	Employer	Federal Decree-Law No. 33 of 2021
Sick Leave	90 days/year (15 full pay + 30 half pay + 45 unpaid)	Employer	After passing probation

★ HERO TIP

Since February 2022, the UAE pays full end-of-service gratuity regardless of whether the employee resigns or is terminated — the old sliding-scale reduction for early resignation was abolished. Gratuity is calculated on basic salary only (excluding housing, transport and other allowances) and is capped at 2 years' total salary — the only GCC country with a statutory cap on the total payout.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
End-of-service gratuity accrual (21/30 days per year, illustrative ~8%)	\$240.00	8.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,840.00	~128.0%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. There are no employer social security contributions for non-GCC expatriate employees — gratuity accrual is the main statutory on-cost. There are no employee deductions either, since the UAE has no personal income tax and no mandatory social security for expatriates. This table excludes the one-time visa/work permit fee (USD \$3,000 for the employee, plus USD \$2,000 per dependent) — see the Visa & Work Permit Support section below.

Visa & Work Permit Support

The overwhelming majority of UAE hires are expatriates, and a valid residence visa plus work permit is a legal prerequisite before an employee can start — there is no route to lawful employment without it. HeroForce manages the full visa and work permit process for every UAE hire as a standard part of the EOR service.

Item	Detail	Notes
Main applicant (employee)	USD \$3,000	Covers the full process — document preparation through permit issuance
Each dependent (spouse/children)	USD \$2,000	Optional, only where the employee is sponsoring family members
Government fees, medical exams, courier, translation	Billed at cost, separately	Not included in the service fee above
Process complexity	Individually assessed per case by an immigration specialist	Any additional charges for exceptional complexity are communicated in writing before being incurred

★ HERO TIP

Because nearly every UAE hire needs sponsorship, build the USD \$3,000 visa fee (plus USD \$2,000 per dependent, if applicable) into the total first-year cost alongside the recurring EOR fee — it's a one-time cost, but it changes the true cost-to-hire meaningfully for a single-employee UAE engagement. Government fees, medical testing and courier/translation costs sit on top of this figure and are billed at cost.

Termination & Separation

Notice periods are set by contract, with a statutory minimum of 30 days under the Labour Law. End-of-service gratuity must be paid as a lump sum within 14 days of contract termination — missing this deadline can trigger a labour complaint and MOHRE fines ranging from AED 5,000 to AED 50,000.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
~March/April	Eid al-Fitr (multi-day)	National (Islamic calendar)
~May/June	Eid al-Adha (multi-day)	National (Islamic calendar)
~June/July	Islamic New Year	National (Islamic calendar)
~September	Prophet's Birthday (Mawlid)	National (Islamic calendar)
1 December	Commemoration Day	National
2-3 December	National Day	National

Islamic calendar holidays shift roughly 10-11 days earlier each Gregorian year and are confirmed by the UAE government closer to the date based on moon-sighting.

Ready to hire in the UAE?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first UAE employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).